Mum’s The Word: Kathryn Rooney Vera on Fed’s Second Meeting under Kevin Warsh, Plus Earnings Breakdown (Live Replay)

Podcast: Monetary matters

AI Executive Summary

Core Thesis

The global economy is entering a period of heightened uncertainty and structural transition, characterized by a less transparent Federal Reserve, a widening yield curve driven by long-term inflation fears, and extreme divergence within the technology sector. While massive capital expenditures (CapEx) in AI—driven by "hyperscalers" like Microsoft—are fueling unprecedented growth in semiconductors and cloud services, the sustainability of this boom depends on whether AI-driven productivity gains can offset persistent inflationary pressures and rising operational costs seen in companies like Meta.

Key Arguments & Data

- **The Federal Reserve & Macroeconomic Outlook:**
  - **Fed Policy Shift:** The Fed opted to hold rates, but investors are reacting to a "less communicative" regime under Chair Warsh, where the Fed prefers markets to shape expectations rather than providing explicit forward guidance. ly * **Yield Curve Steepening:** A "steepener" is emerging; 2-year yields are dropping (pricing in fewer short-term hikes) while 30-year yields are rising (reflecting fears that inflation will remain above 2% for the foreseeable future).
  - **Inflation Trajectory:** Achieving the 2% target this year is unlikely. If monthly inflation averages above 0.3%, at least one rate hike in 202

Full Transcript

Wow. All right. We are here. We are joined by Catherine Rooney Vera, who's the chief market strategist at Stone X groups. A lot of views on bond markets, everything in macro. I mean, we can get to currencies and bonds. Catherine had a very strong call that the Federal Reserve would not hike today. The market thought there was like a 30% chance, or at least what was priced into the market. I happen to agree with you, Catherine. I thought that those odds were far too high, and it appears that you were right. I mean, we know that you were right. Congratulations on the good call. I wonder why do you think the market thought that they were going to hike? I think there was, you know, there's some historical precedent that a Fed chair that comes in tries to prove his inflation fighting credibility and hike. There's also been some pretty good data in terms of resiliency here in the US. So I think there was a combination of variables, but really 30 percent. The surprising thing is that Jack usually just before.

Fed meeting the market is fully convicted one way or the other here. It wasn't I mean 30% It's kind of equippling about whether or not it's going to happen I talked to a few guys and gal saying 50 50% odds But if you look at economists, they were broadly in favor of a hold, which is the category that I also fell in What did you make of the meeting? What were your broad conclusions? I mean, it was interesting because the presser, he revealed, or Chair Warsh revealed very little. And you and I were talking beforehand, he kind of spoke at odds to his own statements here and there. And in and of itself, that messaging in my opinion is telling, he repeated focus on market pricing, implying that he prefers markets to shape the expectations rather than the Fed attempting to lead them, but then said something a little bit different. I think that What we see in the market reaction is also very telling we saw a sharp sharp rise of a third-year Treasury yield I think investors are beginning to wonder if he's going to actually hike. This is a Fed that is fighting Credibility issues for many years many many years five and counting of missing their 2% target with a lot of tough talk and very little action so I think the 30-year treasury yield speaks volumes. You see the two-year dropping, 30-year moving higher, so you see that steepener. And if

the committee doesn't eventually reinforce its rhetoric, Jack, I think that this could be yet another blow to federal reserve credibility.

So the long end of the bond market sold off yields went up the short end two-year yields went down So the market is pricing in fewer hikes a more dovish policy in the short term And as a result the long end is saying whoa if the if the Fed is not going to fight inflation I mean, I doesn't matter how much Kevin Warsh talks like if they don't actually raise rates Why do I own a 30-year Treasury? That's exactly that's exactly what happened and you know the markets prior to this meeting were forecasting it very 90% chance of a rate hike by year end. And now that's been taken back. So yeah, the front end heard not happening, not today, not for the foreseeable future. And the back end heard inflation is going to be above 2% for the foreseeable future. And the Fed is losing inflation, fighting credibility. So let's see what happens. I think that I don't think it was a horrible presser. I hear some other.

pundits saying he did very poorly. But Jack, I don't think that his lack of really divulging much information should come as a surprise. This is a Fed chair that was put in a seat. And in fact, you might have been at Dean Kernet's event a few years ago where he spoke, but Kevin Warsh has said repeatedly that his goal is to take interventionist Fed to a laissez-faire Fed. So once the market stops talking about the Fed, that's where he declares victory. And so he's pulling back the reins on communication. I think we should see more of that next year after he indicated that he's going to continue status quo through year end. So the world that we know so well, Catherine, the world where the Fed is going to signal what it is going to do and is very open and transparent about how it's perceiving data and its potential reaction function to that data, That world we know so well, Catherine, honestly, fondly, think of it fondly, no longer exists. That's what you're saying. So in this world where the Fed is not going to tell us any much, the info has been reduced 80% to 90%. What does that mean? You had a piece where you wrote about how to position for a Fed that says less and a curve that says more. Yes, sir. That's exactly right. What do we need to know about this new world that we're in?

broadly, and then specifically investment implications. Yeah. A quieter Warsh Fed moves the risk premium. As we wrote, uh, John Hills, my colleague and I in our piece on Monday, it moves the risk premium out of the statements, out of the pressers, out of Fed speak, which is what we lived and died with and held our breaths endlessly to hear from, from the Fed with its forward guidance and its meaningless thought plots. But it moves that risk premium out of, out of the Fed and into this. and the statement into the curve. And that's, I think, what we're seeing. So we should expect less guidance. We're already seeing it. He's not answering directly, questions very directly. But less guidance doesn't mean easier policy. And I think that's what the market is also trying to digest. It means more uncertainty around each meeting. And I'll reiterate something that I think many pundits have talked about, which is the fact that a lot of guys in the trading desk are very young and they haven't really experienced pre-crisis feds.

But we're kind of going back to how things used to be. We're out of crisis mode. The Fed doesn't have to be holding the market's hand all the time and guiding it in its decisions and leaking information. So I think that, yes, this means more uncertainty. It doesn't mean monetary policy is going to be erroneous in nature or make a lot of errors. It just means perhaps more rates volatility at potentially higher borrowing costs. when the overnight rate is unchanged. And that's not a bad thing because high rates, they work themselves through the system. So he doesn't necessarily even have to hike rates just by holding rates where they're at. We see restrictive financial conditions and mortgages and lending rates and consumer financing. So I think we're on course, a corrective course, and I don't think it's necessarily a bad thing.

What does it mean for the shape of the curve in terms of whether it's going to flatten or steepen? I think a lot has to do with productivity levels and this is something that I particularly am keen to hear from the Jackson Hole speech where Chair Warsh is seeing productivity levels because if you get a boom from productivity effectively from AI, which is what Steve Myron has been talking about and other doves from the Fed have been talking about. That is true. And you can have a boost in productivity that can absorb inflation to an extent where you can grow at a very strong clip without being inflationary because you have that gentle deflationary pull

from advances in productivity. So if we get more widespread adoption of AI, which we haven't seen yet, And I think a lot is bluster at this point, and I think you see that in semiconductors and the tech stocks moving lower in the past few weeks. It's kind of like show me the money, but I think if you can get productivity online and widespread adoption of this, then you can see the markets resume their belief in a Fed that can reach its target. If we don't get a boost in productivity, I think it's going to be a lot tougher of a call for the Fed to hold rates or even cut rates. I suspect that we are going to see some rate hikes this year. I was hoping that my call for the receiving by the end of this year would play out. It didn't. It's not going to because apparently the call is now on the opposite side. The markets aren't expecting many hikes. But I do think unless and until we get that productivity boost, then you're not going to see the front end moving lower in the foreseeable future.

Okay, so you were a temporary bull on the front end, but now you think it's roughly fairly priced Yeah, and also what I tell our clients tactically is if you like our trading desk we look at flatners tactically so you can put on trades that make sense But if you're banking on long duration, I wouldn't necessarily go that far. I think that the Fed is going to have to hike, but I doubt that they hike to the extent needed to cap inflation. Let's see. My call, Jack, is that the first hike is going to come post-election. I don't think they do anything in September. I think they go in December. And then if the economy continues at the pace that it's at, which is, yes, a slowdown, but still at trend.

potentially above the neutral rate potential growth, then I think more hikes necessarily need to be in the offing for 2027. Do you think that Kevin Warsh kind of wants the market to price in a lot of hikes so that he doesn't have to deliver them? Yeah, I was talking with an economist friend and she said to me, it's a toss up as to whether or not he hikes today to be able to cut before the midterms. I don't buy that stuff. I think that would be an even more severe mortal wound to federal reserve credibility. You do not want to be the entity that goes and then hikes and then a couple months later cuts. I don't think that politics plays a role here. I think if it were to play a role, it would be the opposite. Kevin Worsh would probably hike today. There's arguments on both sides for hiking or holding.

In my view, it's unlikely that he's going to do it in September. But who knows, we have data out tomorrow, we have data out the next day where we're going to see GDP, we're going to see inflation data to tell us and gear us a little bit more. By our estimates, if you get inflation at 0.2% month-to-month from here through your end, there's a good chance that he doesn't hike at all if it moves higher to 0.3 month-to-month on average from now through your end. you can bank on at least one hike this year. And how, what is your outlook on inflation? How does that compare towards other, you know, blue chip estimates and also the, the feds own estimates that we got last month. Yeah. Well, yeah, June CPI weekend.

remarkably, of course, that was because of the retracement in oil prices. And now what we're seeing is a reversal of that trend. So core CPI was flat, shelter rose a small amount. So that was very good. When you look at core PCE, housing is a substantial contributor in attribution points to that overall number. second only to services ex-housing. So when you get a deceleration in shelter costs, that's a very welcome signal. So I would like to see that continue. Affordability does remain an issue, and I think that the Fed has played a material role, Jack, in crowding out the private sector in the housing market, rendering it even more unaffordable. So a lot of this is a self-inflicted ruin by the same Federal Reserve.

I would like to see inflation on the shelter front move lower. And then on the service sector front, that's where we need to see an improvement. But one soft report doesn't mean a return to 2%. So I think that also gave the chairman some cover. to not hike rates this month and wait to see what tomorrow's data shows. My expectation is that we do miss the 2% target for the next two years. I think we probably end this year exactly where the Fed sees it, actually. That's what we have. And in that scenario, and my base case is for one hike this year. So yeah, I think we're pretty in line with general estimates. Inflation can remain above 3%.

for some time. And I think the Fed has been proven to be comfortable with that. Now I would love to see this chair meet expectations and fulfill his promises. I think that he has to and hike rates if we continue to see. this trajectory, both of inflation, of oil prices, of food costs, which I think are still in the pipeline to increase because of the closure of the Strait of

Hormuz and the impact on fertilizer, and then also because of the robustness and resiliency of the economy. Yeah, just a side note, Catherine, I pay attention to the price of sulfur. I probably check it like two or three times a week. The price of sulfur is extremely high, and that does not bode well for fertilizer prices, which does not bode well for food prices.

Definitely something that I think we should look out with. So, Catherine, you said that you think if we get some 0.2% of inflation every month, then the Fed, you know, doesn't need to hike anymore. So I'm just, you know, simple math, 0.2 times 12 months in a year. That's like 2.5%, you know, 2.4, 2.5% annualized inflation. What do you think is Fed share worships break even point or his breaking point where he basically has to hike? Otherwise. He's going to worry that his credibility is not being taken seriously. I mean, you said that you think inflation can stay above 3%. Give us more specifics on this, because it's a question that he seems so unwilling to want to give any guidance at all, but it really is what everything hinges on.

Yeah, we always look at calendar years right Jack, but we I think we have to look into into next year So this year no chance of hitting the 2% target I think he would probably to hit the 2% target next year, which is unlikely I mean even in the summary of economic projections We haven't seen his estimates yet, but unlikely to hit next year either But like he said it's it's you have to take things slowly and and I'll give me the benefit of the doubt as as soon as he starts so If they hike once this year, some guys are calling for three hikes. I doubt it. I say one to two this year. And I expect another two next year. I do suspect so. And then there's that transmission time that it takes for those rates to take effect in the economy, which I would argue rates have proven as high as they have been to be less efficient, a tool to blunt inflation and bring it down as they have been in the past. And a lot of people talk about structural changes. Well, There are structural changes, and you can even see that on the other side of the coin, which is the dual mandate. You have inflation, but you also have the unemployment rate. And the unemployment rate has been so remarkably low. And when it has to ask themselves, why is that and does it have to increase for the Fed to cut rates? If it stays low, if it goes lower, is that inflationary? Does it cause the Fed to hike more? Well, we have to look beyond that. I mean, even if you look at

the Fed's own estimates of new entrants and new neutral to maintain the unemployment rate where it's at, we're in a very different scenario than we were a couple of years ago, even one year ago, even by the Fed's own estimates, new entrants to keep the unemployment rate in neutral.

is close to zero. So less than 10,000 new non-farm payroll jobs generated per month is- And, Heather, I think the reason you're saying that is because of immigration. Could you just explain why, just for me and the audience as well? Well, yes, absolutely. Because what we're talking about is labor force participation. So when you have fewer people entering the labor force, as in the case now we have net zero immigration. then you have a lower participation rate and you have a lower, in this case you have an unemployment rate that has remained sustained low for an extended period of time. Why? Because we don't need 150, 200,000 new jobs generated to keep pace with new entrants into the labor force and that's the immigration wave that you alluded to. And so now we have to grapple with a new situation where the neutral rate of new entrants is no longer 150 to 200, but historically it has been and it's now about zero. So what does that tell us? Bottom line, not to elongate too much, but bottom line what does that tell us? As an economist that tells us that we've seen 36,000 I think on average non-farm payrolls for the past 12 months, if I'm not mistaken, those are the numbers. Guys look at that and they say recession, you know, but you can't look at it the same way anymore. So I'll tune my own horn here, Jack. At the beginning of the year, my outlook, what I said was, the US economy is not, we're not in stagflation. We're not in recession. We're actually in this two-tier overheating in some segments. And I called it back in January saying, we're going to get cuts in the front end of the year. In the second half of the year, If things stay as they are, of course, I didn't know I ran the I ran more was going to happen. But at that point, what I did say was in the second half of the year, we could be looking at rate hikes. And I said that repeatedly in January and March. And I think we've been proven correct on that. And I do suspect we're going to get hikes. And I would throw one other idea out there, which is US exceptionalism. I said that one could continue to be the case. And in fact, it has been the case. So all we have to see now, kind of like to pull this all into one neat, neat, tidy bow.

is what we have to see now is broad breath adoption of AI automation. Yes, that could mean creative destruction and increase in said labor market. But that would allow the US economy to grow above potential. It would increase the rate of potential growth for this economy. And we would not have to take rates markedly higher. To get there, though, like I said, we have to have adoption. So we see a lot of catbacks. I know you're on top of this. We're probably gonna see additional investment in CapEx after the close today and that could be even more important than what happened with the Fed. But that I think is the game changer. That I think is the game changer and if I can add one more point is that when you look at CapEx investment with the 700 billion plus that's anticipated for this year globally, all of that has helped this economy grow.

It's helped us in the private investment. It's net detracted from net exports. But that in my opinion is all positive for productivity. So to close, I think we don't have to hike too aggressively. I think productivity rates are good. They haven't even counted on the adoption of AI. I think it's ongoing. And that will allow the US economy to reach a new equilibrium, which this Fed is, I think, anticipating and hoping for. So you're totally right that there's one part of the economy that is overheating to the extreme. It's red hot. You're going to ruin your hand, burn your skin off if you touch it. And that is the AI semiconductor capex space, building out data centers. These companies are growing their earnings at 40, 50, 60, 160 percentage points in some.

Places it is ridiculous and yes, I just did pull up you know nominal GDP is now growing year-over-year at 6% That's pretty hot You know it had troughed its growth at 4.6% of you know Let's say you call 18 months ago. Do you expect that we're going to see that? Nominal GDP and real GDP go up more than it already has because even though it has gone up and you're totally right it hasn't gone up nearly as much as just the red-hot, you know, burn your hand off semiconductor capex. Like, do you think that eventually there's going to kind of level out and it's going to broaden out? Because just I look at the huge dispersion between AI capex and non-AI capex and it kind of says some negative things about the non-AI part of the economy, I might say. You make a very good point and you're totally right. And this is the segment that's fueled not just, you know, a lot of parts of economic

growth, especially in the private investment portion, which has been phenomenal and astronomical, but also it's fueled the market. So we have this, I would say this vulnerability to this segment that crossing our fingers, it does pan out. I think it will. And these companies, many of them are already profitable. So it's certainly, it might be not a bubble, but this has to broaden out because what we're seeing is an economy and a market that's increasingly needs this continued investment.

I do think that you could get additional boom from the trade sector. You're seeing a widening trade deficit. So as these imports of capital equipment decelerate after this arms race to CapEx investment cools, perhaps, then you could get, in my view, an improvement in the trade balance. So when you look at C plus I plus G plus X minus M, right now consumption is really good. Private investment is excellent. Government spending is good. net exports are negative. So I think you can get probably an improvement in net exports, how much pulls back from private investment. I think you make a very good point. And I think that in that case, we would really need to see rates come a little lower to support the other than tech industry, small businesses, medium-sized businesses, companies that can access lending.

and can finance their own catbacks at a lower rate, and thereby perhaps employ more people and grow the economy. So in short, I do think there has to be a broadening out. It's been great so far. We are seeing a deceleration. So 1q, 2.2% around, 2q is probably going to come a hint over 1%. I think a deceleration is actually a good thing because if you see an economy that continues to grow out or above potential at our developed market status, then that is inherently, I mean, it's debatable. Some economists say it's not inflationary. I think it is. You're talking deceleration in real GDP or nominal GDP? Oh, I'm talking about real GDP right now. Sorry. Yeah. Yeah. Yeah. Yeah. So, so yeah, I think, I think that's where, where, where we stand. That makes sense. It's, uh, do you, what is your concern about AI being a bubble, the catbex being too, too much. It doesn't seem to me quite a bubble yet unless and until you get stupid money chasing, not stupid money, but too much money chasing unprofitable enterprises. And that's not what we're seeing now. We're seeing profitable enterprises and we're seeing real investment here. So that for me classifies it as something real.

because we are seeing profitability. If it were something that was unprofitable, like we saw in the tech boom back in the early 2000s, then I would be more concerned. Where I am more concerned is if we do see rates move higher and you see the tech bubble, well, it's not a bubble, but if you see tech correct, then you get the wealth impact affecting consumer confidence the US economy and guys who think they've been diversified because they've gone into small cap or emerging markets or industrials To diversify away from tech are not actually diversified because there's heavy weightings in tech in all of those in all of those In all of those sectors and don't work Catherine. I'm diversified. I own Korea. Oh, there you go Korea Taiwan they've all been great. So they're they're all doing fantastic, but if you get Tech, which is a sector most vulnerable or most rates rates vulnerable Then then then I do expect a correction and actually we have been calling for a correction for some time And I think we're seeing it now one of my points of reference for our client base has been to say throughout the year, you can see complacency reflected in the volatility index. So when the volatility index, and some technicians don't like using this, but it's a rule of thumb that I like to use. When you see the volatility index break below 15, hit 12, hit 13, that means protection is cheap. So you can buy put spreads, you can buy protection on your portfolio, on your AI and tech portfolio without having to sell it too dramatically or without having to rotate out of it. So that's been one of our calls and it's worked out pretty well.

and especially right now. So yeah, I think that's where we need to be positioned, but I guess you were asking about nominal growth and it has been stellar. I think we can see it recede, but AI has been the most tremendous driver that in my lifetime that I've seen move both the economy and the markets, but I do wanna see it more broadly adopted so that it can have those positive economic impacts in the real economy and be that buffer against inflation. Catherine, what do you think of commodities, gold, oil, and other commodities? Yeah, gold has been one of our best calls on a retracement. We've been recommending accumulation. It's a hedge against the loss of policy credibility. I continue to think so. I think a genuinely disciplined Fed and sustained rise in real yields could weaken that case. But I like gold. It's been a great performer for us with regards to oil. I'm in the camp that once we see a cessation of activity and Iran and that's eventually

going to be the case, some economists think it's going to stay high for a very long time. I think it comes back down and that's going to be a very positive thing for inflation and the pass through.

to inflation and for the consumer at large. So I do think we will see a close to immediate drop when we get a reopening of the Strait of Mourn Mous or just a complete stop of this conflagration, which is really an escalation in what we're seeing. So really, Jack, who knows, uncertainty is very high on the oil front and on the geopolitical front. But commodities in general, I think you've touched on the two biggest ones. Energy stocks were one of my top picks coming into this year. It's been the top performing sector year to date. So another one, we've got some bad calls, we've got some good calls, but that's been one of our good ones. Now from here through your end, I'm more cautious. I'm recommending to our clients some realization of profits on that front. Okay, so some realization of profits on the energy side.

No worries, Catherine, at all if you have to put this into the too hard pile, you know, as Charlie Munger says, but thoughts on semiconductor stocks, which had been the best performing stocks by far, but over the past 30 days have really been in a little bit of a slump. I like something you posted and I haven't checked the prices since then, but I agreed with something you wrote on Twitter, which was, you know, if we get a hold and if we get, you know, additional CapEx investment, we could see. boom in the semiconductors. And I tend to agree with that. I think if we don't get rate hikes, if we get additional capex, I think there's additional upside. And this is a real story. There's a lot of hype around it for sure. But I do think there are opportunities, especially under that scenario. So careful, I can't talk about names or anything like that, but I do think that there's strong evidence of AI monetization here.

Well, what a transition, Catherine. We're going to get into Microsoft and Meta just about to report earnings. Thank you so much, Catherine. Tell us where people can find you on on X and elsewhere. Yes. Thank you so much. It's such a pleasure to join you. Yeah. On X, Kevron Rivera, as well as on LinkedIn. Thanks. A joy to join you today. Thanks so much, Catherine. All right. We see, now we are joined by my friend and business

partner, Max Weethy of the Other People's Money on the Monetary Matters network. Max, good to be hosting a live stream with you. Yes, it is Jack. Good to be back live again and on such a big day. It was quite the Fed meeting. I mean, we've had quite a whipsaw in market. So I don't know how closely you were watching it while you were talking to Catherine, but we basically got a total reversal. Everybody.

you know, basically with the exception of the long end, we saw a little bit of volatility and then we bounced very, very quickly during the press conference. And really in the last 30, 45 minutes of trading, we pretty much dumped everywhere. So the middle of the curve was faring much better than the back end of the curve. That has since sold off not quite to the lows of the day, but S&P 500, the Dow, NASDAQ all pretty close to their day lows, if not through them. Yeah. Basically, Max, it's what Catherine, we talked about how just the long end does not like it at all. And then when the 30 year rate, the 10 year rate go up, that drags down the stock market. Max, we do have numbers from Meta and Microsoft. So we're going to pull them up. Do you want to give us a little bit of a framing in terms of just how high expectations are going in, or should we just get right into it?

Yeah, I mean expectations are very high Google expectations were very high and they exceeded those expectations both on earnings and capex But it hasn't mattered so as much as I'm excited to see what the numbers are I'm probably more excited to see how the market reacts because when you're getting beats and raises on guidance and On earnings and capex and you're not seeing that fall through with you know rallies after hours a nice a nice green candle That's generally not a good sign Yes, that's true. I mean, I'm, uh, I'm more interested in the numbers. I'm generally the view that like when we go, no one, no one knows anything. So let's, uh, let's look at the numbers, but just facts in terms of the estimate. So mic Microsoft reported 90 billion revenue operating income, 40.6 billion gap net income, 35.8 billion. Uh, so gap earnings per share, 4.81 cents non gap, 4.74 cents, not including gains from open AI, et cetera. It's just so.

What they what let's check what did that is to numbers and I mean feel free to interrupt me if you know the answer I'm just checking now myself No, no, I mean they just came out. I'm looking through Are you pulling it

directly from their website Jack? Yes Okay, let's see So the market was expecting 4.20. I believe that's probably on a gap basis and the Gap earnings were four dollars and eighty cents. Okay. So and four dollars and seventy four cents on a NAVGA page. Okay. So the market, the market definitely crushed the highest estimate was four dollars and eighty nine cents, but well above the mean and median estimate just below the highest possible estimate. So not a blowout, but certainly a very good quarter. And I'm just max. I'm going to, I'm going to see what a capital expenditures are. Where's my, where's my capital expenditures? Let's see. Yeah, Jack, why don't you share a screen? Yeah, sure. See product revenue.

17.2 service, 72 Cloud share my screen. Stay with us just for a moment. Um, well, okay. So Max, you lead us cause. Yeah, I don't have, I don't have the document in front of me jacket. It just came out and I'm not finding it on their website as easily as you are. Okay. Okay. So let's see. I'm just compared to the revenue, the revenue expectations. We're expecting 87 billion. And what we got was 90 billion. OK, so that's a strong beat. I don't think we have guidance yet. I think they gave cap and guidance on the call. Yeah. Let's see just what cash from. Here we go. OK. Net cash from operations, investing. OK, here we go. Additions to property and equipment is 35.8 billion. That's a lot. And I believe that actually number is smaller.

than the actual true cap X number. So it seems like cap X is high. Let's see what happened on the margin profile. Yeah, I'm not going up the estimates here. So our estimates on the cap X front, high estimate was 24 billion. Low estimate was 16 billion for this quarter. Yeah, it was way above that. It was it was what did I just say? I said 30 something billion. Cash yeah, so we blew through and then 35.8 billion property equipment. Sorry. Sorry max again the actual quote-unquote capex number could be materially different from that because of various lease obligations and stuff but that is huge just looking at the 12 months of last year I mean it's almost doubled from 64 billion to 115 billion so massive catbex, that's not news. But yes, this 35.8 billion addition to property and equipment does seem to be very large above expectations. We don't have guidance yet, Max. Yeah, I was just saying, you know, looking forward, you know, we're expecting for the next quarter, the earnings we'll get in September, or probably the next month, you know, it's 23 billion. So we're already way ahead of schedule.

for what we can expect. So that's sort of the number to be looking forward. And then it's flat again for Q4, basically 23 billion again, and we start to get into bigger, sorry, sorry, my mistake. Yeah, yeah, so I got the CapEx numbers. So 35.8 billion of paid for property equipment, 5.6 of finance leases. So 41 billion, folks, in the past quarter. That's a lot. uh, a very significant quarter over quarter raise. Yes. There's lots of volatility. So it's only like three and a half billion above the, you know, two quarters ago, but these are, these are big numbers. And again, I am looking for the, the guidance. Okay. Let's see. And Jack, I, I miss cool. I was looking at, I was looking at 25 numbers for that 17 billion. It's 35 billion. So, so we're more, we're much more in line with expectations. It was 35 billion and it was 40.

The actual number is 41 billion. It's still a beat of 60. Yeah, 41 billion. But the high estimate was 45. High estimate was 45. So there were some people on on on Wall Street predicting more next quarter. That number jumps up to 46 billion is the median estimate and 60 billion is the high estimate. And we pick up, you know, basically around those numbers through June of 27 as far out as our estimates go. So we're basically expecting that next quarter will be sort of like the max out. for CAPEX. And then that's what we can expect moving forward through the beginning first half of next year. And here we have the cloud revenue growth, the second to last bar on the bottom. Cloud revenue growth growing 27% year over year. I mean, Max, those are phenomenal numbers. I'd love to have a very mature business growing at 27% year over year for cloud growth. However, if you're spending almost 200 billion per year, wouldn't you want that revenue growth to be just a little bit higher and also that gross margin percentage going down. I imagine some of that is the depreciation expense slowly creeping in. So I, you know, I want to be clear when I'm bear posting and when I'm not bear posting, like I am bearish on meta. I'm not very bearish on Microsoft, but I am just noting things that don't seem amazingly good. Yeah, let's see what is the stock down max.

The stock is up. We do have a divergence, right? So so meta also reported clearly their number has has come in they missed on EPS So we were expecting 7 and 22 cents the share we got 6 and 18 cents So meta is down. It was down as much as 5% after hours We're now at around 4% whereas Google was up rally or sorry not Google Microsoft Microsoft was up

Approximately 3% 3 yeah, right at 2.66%. You know, it is kind of coming down a little bit now, 2.5%. Interestingly, I mean, the big thing with the CAPEX, right, the CAPEX is not so much as important for the price of Microsoft or the other hyperscalers. It's what does it mean for the semiconductor complex? So, you know, we had the semiconductor complex was down for most of the day. We got basically back to flat.

at three o'clock, you know, halfway through the press conference. And then we sold off down to four down four and a half percent on the day. We are now down after hours. Another one percent. So these capex numbers are not satisfying the semiconductor sellers. That is why I don't think we don't have. We don't have guidance yet. And I want to say, okay, you said Microsoft stock is up as your growth, which really that is, you know, the cloud as your growth was up 43%. So the. When I said the number of 27% that includes like the boring old cloud stuff if you actually include Azure and other cloud services revenue growth Which let's be honest is the reason that Microsoft spending so much money 43% growth. Okay, that is that is good. I you know, I Maybe I bear posted a little bit too much and let's let's look at meta max Meta may actually give cap X guidance already and we won't have to wait till the call. Let's let's see Cap X for meta was 31 Billion. Yeah. Okay. Okay. Yeah, they say. Meta says 2026 CapEx is going to be in the range of 130 to 145 billion narrowed from a prior outlook of 125 to 145 billion. So that technically is a raise, but what an anemic raise max relative to the raises that, you know, we in the semiconductor industry are used to. So yeah, that does make sense. A little bit of a tempering of expectations there and Meta again, just referring to the CapEx, not referring to the actual earnings.

Yeah, and I'm just gonna pull it up here because obviously they give guidance I want to see what we got What people were expecting because you know, we've been we've been so used to To the beats. I mean we max these numbers are horrible. Sorry. I mean just okay revenue was up 28% That's great costs and expenses up 55% I imagine a lot of that's depreciation So income from operations is down 8% only 18.7 billion which is obviously a ton of money but down from 20.4 billion So these are these are bad numbers for meta Yes, indeed. And just going back to the CAPEX number, you know, the, uh, you know, the annual four, four 26. Sorry, Jack, was that

estimate? Was that for calendar year 26 or fiscal 26 calendar 26? Okay. So we had the mean and median at 135 billion and the high was 150. So, you know, there's not too many chances left in the year for them to raise that guidance to hit the high. So the high estimates on the street are not being hit.

In the meat of the AI rally where every single report we were getting, every deal that was announced, we were seeing major pops in the stock. We were just continuing, continuing, continuing to exceed the market's expectations. And at this point, Google exceeded expectations last week, but we're not really getting exceeding expectations from Metta. We'll have to wait and see with Microsoft. Yes, I think we're going to have to wait for that call. Yeah, so the yeah, these are the the the guide from meta for capex is yes below the highest possible estimate or I should say the lowest possible for capex of 150 billion you You are right about that. I mean max these numbers are these numbers are horrible I mean your your your net income is shrinking by 8% or your income from operations is shrinking by 8% I'm surprised the stock is not down more to be honest. I will be honest I do own way out of the money put options on meta so, you know, I'm definitely not trying to Convince people of my bearish perspective, but I do happen to be bearish on meta. And I am honestly surprised at the stocks not down more. Honestly, on these horrible results, the stock only being down like 3%. As a bear, this doesn't give me a lot of confidence. But I mean, fundamentally it does give me confidence, but in terms of how the market's reacting, it's not. All right. So when you look at the numbers, like what is your, what is the worst number to you that stands out? Costs and expenses up going up by 55% year over year revenues only going up by 28% income from operations going down 8%.

Yeah, I mean I'm seeing revenues up 28% year-on-year. Yeah, that's what I said Max. Okay, so I thought I heard 18. Revenues up 28% costs up 55% income from operations down 8%. Yeah, I mean are you looking at the presentation Max? I'm looking at the data. I have it here. Okay, okay. You know profit margins, gross profit margins at least operating profits down pretty significantly. Yeah, I mean the expectations for meta had gotten had gotten pretty bad. I mean, I think that's the difference, right? Like your, your bearish view on meta, I think represents the consensus. Well, clearly the

consensus didn't expect this, but, but yeah, I take your point a little bit. Yeah. I think that that's kind of, you know, the helping to read the tea leaves here, which is, you know, frankly, like what I'm most focused on at this point in time is it's not necessarily about the The numbers themselves as much as it is the expectations and you have the actual street expectations and then you have the quote-unquote whisper numbers and I just don't think we are at a point now where we can continuously exceed the market's expectations for for capex and Revenue growth and profits in the semiconductor space and then the flip side of that is the companies like meta which everybody hates like they just you know, we were acting like Mark Zuckerberg hadn't built one of the most profitable and successful businesses in the history of mankind. Like that was people, that's what people were saying. Just, just a few weeks and months ago, I mean, we did get a bit of a bounce in meta, like the sentiment had gotten completely blown out, but not enough of a bounce to suggest that people had completely unwound their view. And that was after he said that they were going to, you know, rent out.

some of the the compute if they okay max max what is the proper price earnings ratio for a company that is shrinking its income from operations by 8% i don't know i don't know but i think that's the wrong that's the wrong question i mean max the proper max i think that the meta it was a horrible quarter i mean there's no and um i hear your point that the market was expecting for a only a mod the market was expecting a moderately horrible quarter And so the stock is down not as much as if, you know, it was NVIDIA and the market was expecting a spectacular quarter. Totally agree. I mean, that if the market was expecting a spectacular quarter, the stock would probably be down 20 or 30 percent. But I think, you know, we do want to say that, at least I want to say, tell me if you disagreed. I mean, this is a very bad quarter. Even the expectations of the median expectations of 6.29 and 7.34 way, way above the actual representation.

earnings of six dollars and 18 cents. So it's a bad quarter. I mean, maybe we disagree on the scale. I mean, I don't I don't know. I don't know. This is pretty bad, Max. Yeah, I'm just saying price is the only thing that matters. Like how you feel about the quality of the quarter is irrelevant to what Max sucks on 5%. I mean, Yeah, stock is down 5% and I guess yes, we are closer

to the lows that we basically unwound most of the bounce that we had from from July So, you know, I'll I will side with you there Jack The market went from you know kind of excited about about them renting out their compute to pretty much giving all of that back Yeah, and one thing we haven't yet talked about is the guidance they're guiding 61 to 64 billion For the next quarter that is a pretty anemic growth of like I guess what one to five percent quarter over quarter growth Not very exciting. Let me see how that 61 billion compares to what it what is expectations Yeah, so there's another wrinkle of just not how bad the results were but how bad they could oh wow Yeah, I mean okay, so the market's expecting 63 billion so by guiding to 61 to 64 Not inspiring much confidence. It's I mean, it's not a It's not horrible, but that's that is the question I mean like okay if you're grown, you know anthropics revenues went from zero to an annualized factor like 50 billion you can justify a lot of cat-backs if you're growing that quickly like what is meta doing with all this compute? This has been a question, you know on my mind had a question on investor's mind for for a while Did they talk about the glasses? I didn't see anything talking about the glasses I think that's in the reality labs. Yeah. Let me look at segments and KPIs here and see if we have anything. Um, so again, I don't even know if any of the Kylie Jenner new glasses have, like if that was released after the day of the quarter of June 30th. So, so I don't know, but just to put it in perspective, reality labs revenue for the quarter, 431 billion income loss losses from, from operations for that reality labs, 4,600 and 19. So like.

a negative 1500% in operating margin on the reality labs revenue. And that growth, I mean, quarter over quarter is not even that great. Like they reported a great, they reported a decent quarter in December, right? Like basically it's a Christmas gift. People are buying these things around Christmas. So, you know, you see that number jump up a little bit. But I mean, reality labs, the last, I mean, it's a little bit of growth year over year, but I mean, it's, Certainly not something that is going to justify huge share price growth from Meta. Yeah. And I guess, look, if you're an AI bull, you're a CapEx bull, SemiBull, whatever, okay, this compute has value, Meta has it, it can sell it. Like it's not going to lose that much money, sure. But I guess, you know, that's going to be a different world from what, from one in which Meta is actually making a lot of money by using the actual.

Compute I mean, okay. You also have the fact that okay. It's coders and software engineers can use it and you can be way more efficient You know reduce headcount have lower headcount. That's a factor but um, yeah, I would not say this is uh, this is great in any in any means this is uh, you know Yeah, and we have the deal is disaster is max you remember on on any on another live stream Program maybe about a month and a half ago. Do you remember I was like going at Mark Zuckerberg and you know, I don't mean to keep it personal But just for the sake of good content and I was like mark. What is going on mark? What's the plan here? Like I do feel like those questions have not been answered by the by this quarter. No, okay No, no, definitely not by the quarter, but I mean we'll see what the call right. Yeah, it's going to take a while Let's say the idea. I mean they did announce recently that people who who were using AI to to basically to control their ad spend, we're seeing better results. They said that people who are using AI to develop creative were seeing better results. I think it was something in the mid-20s in terms of return on spend for letting their AI tools control your spend for you. And if you were using it for creative, it was something like 7% was how much improvement there was. You still need people to actually take that up, right? It takes business's time to change. If you are somebody who's managing a massive ad spend program on meta, it's gonna take time for you to basically say, hey, let's trust the model, right? That's gonna take time to work through. And so I think that there is potential that, you know, this is a bad quarter, but if those numbers hold and they're able to drive better results for people, I mean, there have been a lot of commentary recently, there was a thread that went viral from a guy who said he manages like 500,000 in spend on Google in terms of search. And he said, yeah, the quarter was great, but I can tell you as a user that I'm not seeing as good of results. And the whole reason that, that they were able to continuously grow, grow their revenues was, was that basically there was a mismatch between the value that was provided by Google and the results that you got as a, as a spender. And it was skewed towards the buyer.

And he's basically saying he's not seeing that anymore, but he's seeing practices that he doesn't really like as a user. And so I do think it's natural that if the way we're searching changes, that where is that spending gonna go? And I think it's gonna go to social media platforms. If we're

increasingly searching for information through LLMs, we're not making it down into the advertised searches, why wouldn't meta be the beneficiary of that? And I just think, that change in corporate ad spend is going to take time. I don't think we're going to be using social media less. I think we're going to be buying things through social media more. I've recognized that change in myself. And Jack, you know, I don't quite own out of the money puts, but I'm long, you know, meta stock. So I'll give that disclosure to everybody that Jack and I are full and bare on meta here. But clearly, you know, The bears are winning right now. We're approaching you know lows even even approaching the lows from back in April around when or back in March around when the Iran Iran war took stocks to sort of their lows on the year Yeah, I mean bad results bad guidance. I guess CapEx not raising it by that much I guess if that's a bull case for meta I actually do accept your point max that long term It's possible that these investments that meta is making are good investments and that it needs to do it to survive. And also that, I mean, just Meta pays so much money to Apple and any company that has an app pays so much money to Apple in terms of services that like, even getting a 20% chance at displacing the iPhone is a good bet, even if you have to waste a lot of money on it to put it mildly. So I'm, yeah, I don't mean to doom too hard about the long-term future of Meta. I just want to be realistic as to how bad these results are.

We've now touched down 7% after hours. So your view of disaster is definitely what the market is seeing at this point in time. Yeah. Max, 80% of that additional move is because I used the D word disaster. I see it on the chart. It's basically inflected right when it was a disaster. I'm seeing it come across on the terminal right now. Farley declares Metacorder a disaster with the red. But interestingly, Microsoft starting to turn down now, really the highs for the stock after hours were right after they reported, we bounced around a little bit, now only up 1%. Interesting if whether, look, these stocks are trading, like trading together, the hyperscalers by and large have been trading together. I'm interested to see what the cues are doing, whether this is pulling us down. Yeah, we're down about a half a percent after hour.

After hours on the cues and back to semiconductors and by the way max yeah, so we had two semiconductor companies just report earnings arm and then qualcom I'm looking at arm holdings It doesn't seem amazing total

world, you know revenue up 22% royalty revenue up 22% as well 23% like these are good numbers and yet like arm basically having exceptionally high profit margins having a royalty on all chips that are created or you know most chips that are created is an exceptional business model so I'm not bearish on arm. I don't own the sock individually, but I have been paying attention. You know, it was in my view very overvalued at like whatever, you know, it's been cut in half. And so I was considering looking at it. Of course, the arm is the leader in semiconductor licensing intellectual property. The other players are synopsis cadence and Rambus. And of course, you know, so many semiconductor companies like Nvidia, they have Matt vast, vast IP, they just, you know, don't really, you know, license it or they don't have You can argue that that is the NVIDIA's whole business model is licensing. It's it's it's designed, but you know, they sell it. They don't they don't just like collect a little 1% 2% on top. But arm is, uh, yeah, it seems like a kind of a met quarter. Let's look at Qualcomm and then, oh, by the way, Max, in terms of semiconductors, KLA, one of the, it's definitely the semi cap equipment name that I know the least, but they're like mostly testing. They had a quarter that last last reported last night. It was not that good.

I like for some reason I think like the hedge fund people love KLA so much more than you know ASML or land research and I think it's because they think that KLA has a high percentage of recurring revenue just because you know everything constantly needs to be tested and I guess that's true but that I think that means that their revenues can increase the least as opposed to ASML and land research. They could uh, they could sell a lot of machines and of course the most extreme example of that is uh, you know micron and sk hynix sk hynix reported reported last yeah Yeah, yeah the uh, it's the korean stock the korean version of that stock it was is down A lot the us adr was not down that much. So there's some real um Inefficient markets, let's put it that way and you know, the basically the fake trade that sam bakeman freed pretended to make money on of like being buying buying uh, bitcoin in america and selling it in korea I think that could be a real trade in SK Heinecks. But, um, yeah. Oh, with the, the difference in price. Yeah. Yeah. Yeah. Do you hate San bacon free? Um, lamb reported today too. Oh, did it really? Yeah. Maybe, maybe by 8.1%. So we were expecting 1.68. We got a dollar 82 market likes it up 7%. I got to say Max, you know

me, I've looked at the, at the, uh, guidance or sorry, the expectations for revenue for lamb research.

over the next 24 months, it didn't seem high enough to me. And I have not looked at the court at all, but it seems, uh, based on your said, the positive stock market reaction, perhaps a minor validation of my view, which of these trying times is very welcome. Yes. Let's see. 51% gross margins. I'm just trying to get. They have a very tight investor deck. You know, it's very like no nonsense. Okay. Let's see here. Yeah. Very much. No nonsense. And Max, all this, it was, um, there's their revenue is still 54% foundry. So like, if they can post such a good number with only having 39% memory, that's pretty good. So like DRM and, uh, NAND and NVM, they, uh, I guess that, so the memory percentage is going up, but like SK Hynex, Samsung is ordering a ton of machines. And yeah, 23% of revenue from Korea, 34% from China. That is something that.

People who don't look at these stocks may not know it's just how high it China specifically is a percentage of land research as ML KLA to like China is a huge customer So I guess that is a long-term threat of if China has its supply chain and it Produces something that's like 80% as good. They'll they you know, we'll stop buying land research But I'm seeing slightly different revenue numbers by region from them on there. I mean, I'm looking at the I'm looking at the report for your release today. Mac, you are correct. I apologize. I had the, the March quarter up. I apologize. You're right. Yeah. I'm seeing 27% Taiwan, 26% China, only 20% Korea. So not as, not as skewed towards Korea. This is why we have business partners. You know, this is a good thing. Thank you, Max. Yeah. Yeah. No worries. So yeah. So not as, not as tied directly to Korea. I mean, maybe people like that because lamb is not up as much now.

Coming down a little bit what happened with arm out of the market react to arm arm arm was up down We're back to flat. I mean, it's really gonna be interesting to see what we get obviously the open tomorrow and Really the open overnight with Korea is going to matter. I mean that's been Leading the semi conductor stocks down has been the memory trade. I mean you get SK hynix reporting a fantastic quarter you get Nvidia saying they're gonna basically backstop everything that has to do yet with the memory trade, 250

billion, it used to be that when NVIDIA announced a massive partnership with another company that that stock would be up 20%, right? Jensen would go on stage and call something the next trillion dollar company, it would be up 30%. We're not seeing that. I mean, what does that tell you about where we are in the trade? In terms of the trading, but I mean, that backstop is tremendous. And I think it is likely, not guaranteed, but likely that if needed, that backstop will be used, which means like, yeah, 250 billion of data centers will be built additionally. And, you know, there could be a multiplier effect on that, whether it's direct leverage or kind of indirect leverage of using the neoclouds or the hyperscalers as kind of the initial capex and then the actual spending doesn't happen until later with those producers. I mean, of course, Max.

It depends on, you know, if, if anthropic and open AI are not able to grow their revenues at the pace that they have been, which from December to June was an extraordinary pace. If that, if that slows down or slows out dramatically in flat lines. Yeah. I mean, of course, of course, semiconductors are short. Yeah. We pretty much only have a few companies left in the big mega cap tech stocks and we get them tomorrow. We've got Apple and Amazon. Is there anything in particular you want to look forward to? I think. Apple is a little boring because they're not spending so much. It pains me to say because it's at all-time highs and I feel like it's so contentious, but I feel like Apple is a pretty good AI beneficiary and it way, way lower risk. Amazon, of course, is also a massive spender on AI CapEx through Amazon Web Services, and then they also have the Tranium. It'll be interesting to see there. Amazon, just like every quarter, their online retail business, which is Not a high margin business at all. It just gets better and better and like obviously for many years they were using the losing billions of dollars in international but like a year ago I noted like whoa, they're making a lot of money even in International, you know, like that that's um, you know, they're finally are making like very strong gap profits. I uh, it'll be interesting to see and I wait to see if the If there's a divergence between capex like obviously all the all the hyperscalers rose Guidance capex together, but like what if meta is the only one who's not. Surgeoning their capex. Again, this is not a decline, um, but it is a very, very anemic raise to capex guidance. And also a little point, like just to go through that, through the bear it's a bone. Anytime, anytime you go before decline in capex, what

happens? It goes from, from a strong raise to an anemic raise and then to flat, you know, so like any on the, on the, the ladder from bull market to bear market, there's always these transitional steps that always can like.

be little rungs of hope to, to the bulls. And I don't think that, um, people should look at it statically. And I think if you look at the dynamic of, of huge, huge beat to only a modest beat, a modest raise, I'm again, not even talking, just talking absolute numbers, not even talking about relative expectations. Like if the trend of, for CapEx is for meta of the, of this quarter, then yeah, that's, that's, uh, definitely not bullish. All right, Jack. Well, maybe we'll leave it right there on that, that rosy note. We'll do this again soon to everybody who's watching. Yeah, we have been doing some live streaming for the past few months on a different platform. We're going to be doing it here. We had a little snafu. So if you're watching on X and you prefer to watch us on YouTube, our next stream, we're going to have it up and running on YouTube as well. So look out for more live streams for monetary matters. Jack, any messages you want to leave? Yes, I think.

I do think semiconductors are a buy right here, and I think that I understand it's painful. I'm feeling it myself, but I just want to go on the record and share that. And also, to people who heard my remark and said, Jack is an idiot, you should buy software. If AI is fake, software companies are very cheap. Salesforce is very cheap if AI is fake. ServiceNow is very cheap if AI is fake. The part of Microsoft that's not a cloud and not spending 200 billion, the software business. would also be cheap. Unfortunately, it's attached to a business that's spending 200 billion of CapEx. Sorry. But yes, we will leave it there and let us know what you think of the live stream. We're at 945 live viewers on X alone, only with basically no promotion. So it seems like we got a little bit of a market for it. When we literally went live, Max, before you joined, it said zero live viewers. So I was panicking a little bit. But that is good. And we will leave it there.

Thank you everyone again, subscribe to the monetary matters channel on YouTube and also to Apple podcast Spotify and also Max's podcast, other people's money. Until next time.